

HMSI SET TO TOUCH 1 million UNIT SALES

Honda Motorcycle & Scooter India (HMSI), the wholly owned subsidiary of the world's largest manufacturer of two-wheelers Honda Motors Ltd, Japan – is eyeing to cross 1 million unit sales mark in the current fiscal (2008-09). Despite the overall dip by 5% in the two-wheeler industry last year, HMSI has shown tremendous growth in the year 2007-2008 and sold 9.07 lac unit. The company started production of two-wheeler scooter in 2001 followed by motorcycle in 2004, and is today the fastest growing two-wheeler company. It is expected to achieve overall market share of 12% this year.

"India is a fast developing country with a rising GDP. The market has been attractive for us in terms of volume and future growth. Economic growth and high population of India that needs transportation for work are big advantages in our business and also the presence of highly skilled people here gives us the base to offer quality products," remarked Mr. Shinji Aoyama, President and CEO of HMSI.

Currently, the company has 7 models in India - 3 in Motorcycle (Unicorn, Shine and the newly launched "CBF Stunner") and 4 in Scooter (Activa, Dio, Eterno & Aviator). After the success with its 2 motorcycle models - Unicorn and Shine - HMSI has launched "CBF Stunner" - a high performance, sporty, stylish bike to charm the Indian Youth. The bike with its "high on style" promises to provide its customer an ultimate experience of true Honda style and attitude quotient. HMSI is working towards creating its unique position in the highly competitive two wheeler market and the new bike is one of the steps to provide exciting products at an affordable price.

HMSI already has achieved fourth largest two wheeler maker position and No.1 position in scooters. HMSI is aggressively pursuing the expansion of its network and plans to increase the number of outlets to 750 outlets by 2010 from the existing number of 600 outlets at present.

HMSI's installed production capacity of the manufacturing facility at Manesar is 1.2 million units but it can be further scaled upto 1.4-1.5 million annually through optimizing productivity and model mix, said Mr. Aoyama.

He also emphasized on the possibilities of HMSI importing big bikes in India but also pointed out that the company will bring big bikes with lot of responsibilities and preparation. On the

company's future plans, Mr Aoyama said HMSI would like to closely monitor the market response and react accordingly. He also pointed out that with Honda's experience worldwide, the market is expected to shift towards higher capacity "Fun Bikes". The company would like to emphasize on the premium segment but at the same time also aims to be a full line company by 2010 starting with 100cc motorcycles and Fun Bikes.

HMSI has always focused on Environment Conservation & Safety issues. "We shall continue to do our best efforts in protection of environment through Green factory, Green Vendors, Green Dealers so that we preserve our Joy for Next generation" emphasized Mr. Aoyama.

"HMSI intends to be most admired two Wheeler Company in India. For this we are progressing well. We at HMSI want to spread Honda's three Joys of Buying, Selling and Creating amongst Indian masses through firm focus on "Honda Quality," said Mr Aoyama. "We are building our position by brand building and customer satisfaction efforts. "I ENJOY" campaign based on Honda quality in every aspect is getting good response from customers as well as society," he added.

"Honda believes and practices the philosophy of 3 joys that is being demonstrated through our "I enjoy" campaign to deliver utmost customer satisfaction," remarked Mr. Aoyama. HMSI is committed to provide unique experience through its innovative products and quality in every aspect of business and promise to offer differentiations from the other players in market.

Safety and quality of service have always remained the integral part of Honda business operation. Enhancing safety on roads is one of the Honda's top priorities. HMSI has also undertaken several safe riding initiatives during its short journey in the Indian market. HMSI has a dedicated team to implement & promote safe riding efforts across India and has received good support from Traffic Police, local administration & Society. Honda Driving & Riding Trainer Simulators have been installed in the 84 dealerships and by year end their nos. are expected to increase to 168 nos. These virtual-reality systems are designed to heighten the user ability to anticipate & foresee danger and educate how to remain safe. "We go to schools to teach young students about road traffic rules. For that we have our own small bikes. We have dream to make every Honda buyer to understand the benefit of safe driving and for that HMSI Safety team has trained dealers' staff on Safe Riding education. Our dealerships are actively participating in giving Pre Delivery safety advice to customers at the time of delivery of two wheeler and appeal customers to be role model in safe driving on the road," added Mr NK Rattan, divisional head - sales & marketing.

